

**Standard & Poor's 500 change.** In both bull and bear markets, the S&P 500 index declined. I measured the move in the index by using the dates of the breakout from the three falling peaks chart pattern to the ultimate low.

Notice how the large S&P decline—11%—helped the bear market performance. The lesson here is to always trade with the market trend. Before placing a trade, ask yourself if the market is going to rise or fall. Go long or short accordingly. Don't trade against the market or industry trend.

**Days to ultimate low.** It takes between 1 and 2 months for price to reach the ultimate low on average. Since price declined 23% in 37 days in bear markets but only 15% in 55 days in bull markets, the bear market decline must have been steeper. The math says the bear market drop is 2.3 times as fast as the bull market one. Now that's something you can tell Mom.

**How many change trend?** This row is a count of how many chart patterns see price drop more than 20%. If we use the average for all chart patterns as the benchmark, the numbers shown are just one percentage point from their respective averages. Notice, however, that almost twice as many patterns drop more than 20% in bear markets.

[Table 61.3](#) shows failure rates for this chart pattern. The bear market rates are lower than the bull market ones. For best performance, trade this pattern in bear markets.